

CORPORATE GOVERNANCE



G A R D Prasanna
Chairman

MESSAGE FROM THE CHAIRMAN

Corporate governance is the bedrock on which successful institutions are built to last. Standing strong for over 50 years, LB Finance has continuously set its sights beyond regulatory requirements to uphold principles of good governance embedded in voluntary standards and codes of governance. This approach has served us well, particularly as we navigated three consecutive years of the pandemic and the economic crisis with resilience, honouring our commitments to stakeholders.

We are pleased to state, we maintained a steadfast commitment to upholding transparency, accuracy, and compliance with regulatory standards throughout the fiscal year. Corporate governance is the bedrock on which successful institutions are built to last. Standing strong for over 50 years, LB Finance has continuously set its sights beyond regulatory requirements to uphold principles of good governance embedded in voluntary standards and codes of governance. This approach has served us well, particularly as we navigated three consecutive years of the pandemic and the economic crisis with resilience, honouring our commitments to stakeholders. Building trust in the institution is key to sustainable growth and feedback from stakeholders serve as a barometer, providing valuable insights on the issues that need to be addressed.

The year under review saw the Board of LB Finance increased our focus on corporate governance as there were several developments externally that needed review and action to ensure that LB Finance structures remain future ready and resilient. The Colombo Stock Exchange issued a new Listing Rules on Corporate Governance for public listed companies and the Board reviewed the regulation to determine gaps and how they should be addressed. Actions taken and plans for compliance during the current financial year are set out in the Corporate Governance Report that follows. It was noted that LB Finance was compliant with many of the requirements and needed to address only a few areas which will be effective from 1st October 2024 onwards, affirming our levels of compliance.

The Institute of Chartered Accountants (CA) of Sri Lanka also revised the Code of Best Practice on Corporate Governance with

changes mainly to sustainability reporting and we have set out our compliance with the same in this report.

The issue of the SLFRS Sustainability Disclosure Standards in January 2024 mandating sustainability reporting necessitates significant changes to governance, strategy, risk management and the metrics and targets set. As it becomes effective for reporting period beginning in 2025, we are commencing our journey to complying with the requirements proactively. I am pleased to note that the commitment to sustainability over the past decade has provided a head start in meeting the requirements. We have formed a Board Sub Committee which will have responsibility for oversight of sustainability related matters.

The board sub committees were active, driving progress in their areas of oversight and their reports are set out at the end of the Corporate Governance report. Risk management continues to be an important area with significant transformations to strengthen capabilities and processes as many risks continue to remain volatile. The Board Audit Committee (BAC) plays a key role in ensuring the effective operation of a comprehensive system of internal controls supporting timely and reliable financial reporting. The Board Nominations & Governance Committee (BNGC) and the newly appointed Board Sustainability Committee (BSC) are developing a new agenda to steer LB Finance through necessary changes. The Board Human Resource and Remuneration Committee (BHRRC) continues to play a key role in ensuring that Directors' remuneration and overall remuneration policies serve the long term interests of the company as well as the short term. The Board Integrated Risk Management Committee (BIRMC) continues

to navigate LBF through an uncertain landscape while the Board Information Security Committee (BISC) contributes to the highly specialised area of data and information protection which is seeing elevated threat levels. The Board Related Party Transactions Review Committee (BRPTRC) continues to ensure discharging of their regulatory mandate, directing the necessary communications.

The Annual General Meeting of the Shareholders is on 28 June 2024 at the Auditorium of the Corporate Office and is the main platform for engaging shareholders and notice of meeting is set out on page 431 in this regard. We welcome your active participation at the AGM where the Board and I look forward to interacting with you.

The Board is pleased to report that the Company has applied the principles and complied with the corporate governance directives set out under the Finance Business Act and the covenants recommended in the Code of Best Practice on Corporate Governance, issued by the Institute of Chartered Accountants of Sri Lanka and Continuous Listing Rules on Corporate Governance issued by Colombo Stock Exchange (CSE). Furthermore, on behalf of the Board, I wish to declare that the Board of Directors, Senior Management and employees of LB Finance PLC have acted in good faith in conducting the affairs of the Company.

G A R D Prasanna
Chairman

27 May 2024



Ashane Jayasekara
Senior Director

REPORT OF THE SENIOR INDEPENDENT DIRECTOR

The Board has a strong representation of Independent Directors that helps to maintain objectivity of the Board which is vital for sound corporate governance. The Independence of each Director has been established based on the information and declaration submitted by each Independent Director.

The appointment of the Senior Independent Director was made as per the requirements stipulated in the Finance Business Act Direction No. 5 of 2021 Corporate Governance.

The objective of the appointment of a Senior Independent Director is to ensure the greater independent element in proceedings of the Board and in all deliberations by the Board either at Board meetings or in resolutions circulated amongst the Board. In order to facilitate the functions of Senior Director, a Board approved Terms of Reference is available which define the roles, responsibilities and authority of the Senior Director function.

The Board has a strong representation of Independent Directors that helps to maintain objectivity of the Board which is vital for sound corporate governance. The Independence of each Director has been established based on the information and declaration submitted by each Independent Director. Accordingly, the Board of Directors has concluded that the all the Independent Directors of the Company are compliant with the independent criteria set by "Finance Business act direction no. 5 of 2021", "CSE listing Rule no. 9 Corporate Governance" and "Code of best practice of Corporate Governance issued by Institute of Chartered Accountants of Sri Lanka".

During the year under review, two (2) meetings were conducted by the Senior Independent Director with the Non-Executive Directors without the presence of Executive Directors to discuss matters relating to the Company and the operations of the Board. The meeting with Independent Directors without the presence of Non-Executive Directors and Executive Directors will be held in financial year 2024/25.

As required by the "Finance Business act direction no. 5 of 2021", the Non-Executive Directors have assessed the performance of the Chairperson of the Board.

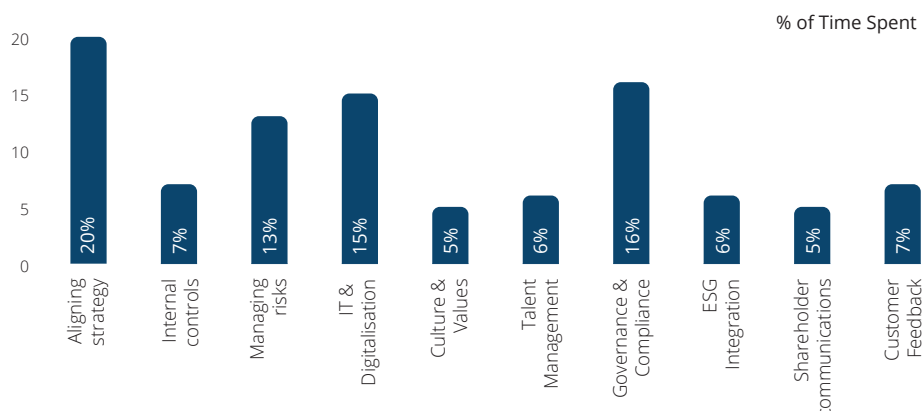
Ashane Jayasekara
Independent Non-Executive Director/
Senior Independent Director

27 May 2024

CORPORATE GOVERNANCE

Corporate governance continues to evolve at LB Finance, ensuring our structures, policies and processes are aligned to current developments in regulation, voluntarily adopted international standards and our own assessment of economic, social and environmental issues that we impact or impact us

Board Priorities



HIGHLIGHTS

Regulatory Matters

- Appointment of Chief Information Security Officer (CISO)
- Develop a Board approved Personnel Data Protection Policy
- Implementation of CSE listing rule No. 9 – Corporate Governance
- Appointment of Key Responsible Persons for regulatory reporting

Committees of the Board

- Appointed Board Committee for Sustainability
- Expanded mandate of Nominations & Governance Committee
- Adopting Terms of Reference of BISC

Appointments

- Appointment of Central Depository Systems (Pvt) Ltd., as Corporate Registrars

Strategy & Oversight

- Board approved strategic plan from 2023/24 to 2025/26
- Periodic review of progress

Risk Management and internal control

- Strengthened risk management function
- Review and updating risk related policies
- Updating Risk Appetite Statement (RAS)
- Implementation of exception monitoring process
- Implementation of ICAAP
- Review of Control Assessment Forms (CAF)

External Developments

- Issue of Direction No. 1 of 2024 on Periodic Reporting Requirements by CBSL
- Issue of IFRS Sustainability Disclosure Standards by ISSB and subsequent amendments
- Issue of SLFRS Sustainability Disclosure Standards by CA Sri Lanka
- Issue of Listing Rules
- Rule No. 9 on Corporate Governance by the Colombo Stock Exchange
- Revised Code of Best Practice on Corporate Governance issued by CA Sri Lanka

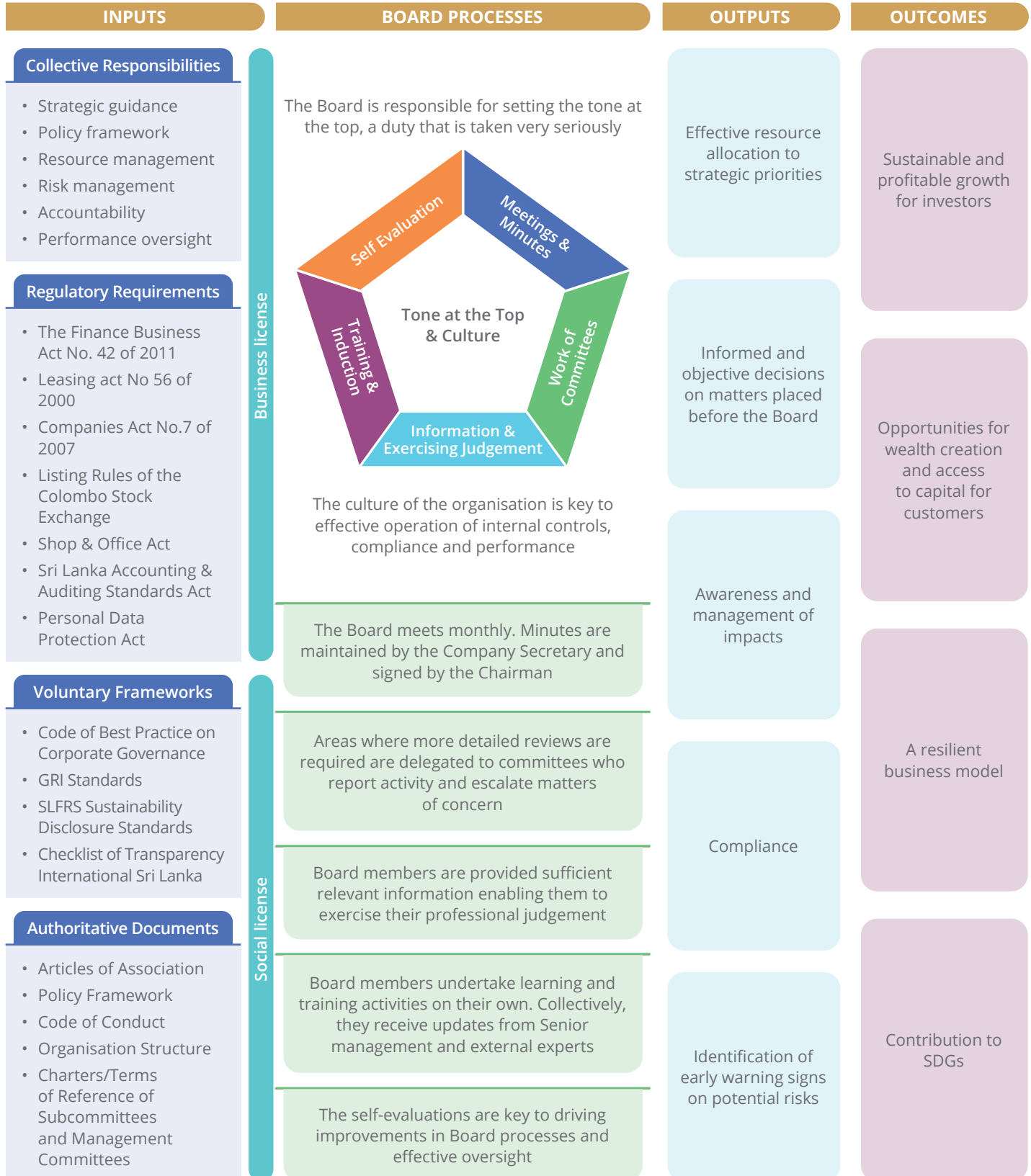
Key Shareholder Communications

TOPIC	DATE
Annual Report 2022/23	07 June 2023
Annual General Meeting	30 June 2023
Q1 Performance	19 July 2023
Q2 Performance	18 Oct 2023
Q3 Performance	17 Jan 2024
Appointment of Registrars	09 Jan 2024
Q4 Performance	15 May 2024

CORPORATE GOVERNANCE MATTERS

As a Company engaged in the business of finance, our business license is issued by the Monetary Board of the Central Bank of Sri Lanka which also issues directions from time to time. The Board is also cognizant of the need to maintain the trust of its depositors and confidence of its borrowing customers to act in good faith as custodians of their wealth and providers of capital for their needs – in other words, maintain our social license to operate. Our governance framework is designed to ensure that these two licenses which are necessary for our continuity are maintained without any impairment. The legal enactments and regulations support our business licenses while we look to a range of voluntary frameworks and internal policies adopting best practice to support the social license as reflected in the Governance Framework. Arguably, the social license is perhaps, more fragile than the business license and the Board and the Senior Management are cognizant of this.

A FRAMEWORK FOR GOVERNANCE



The remainder of the report is structured along the following themes.

CORPORATE GOVERNANCE THEMES

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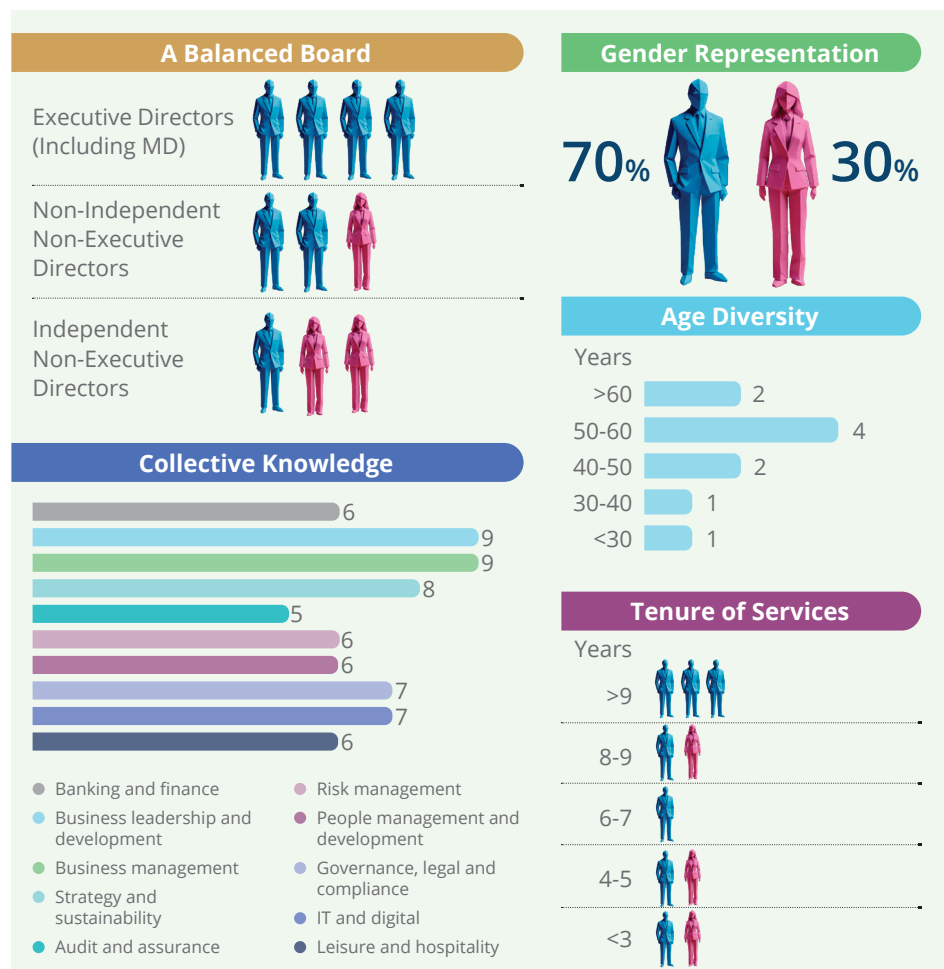
Compliance with the Finance Business Act Direction No. 5 of 2021 Corporate Governance issued by Central Bank of Sri Lanka is given on pages 359 to 383

Compliance with Colombo Stock Exchange Listing Rule No. 7.6 - Contents of Annual Report and no. 9 - Corporate Governance is given on pages 402 to 411

The Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants is given on pages 384 to 401

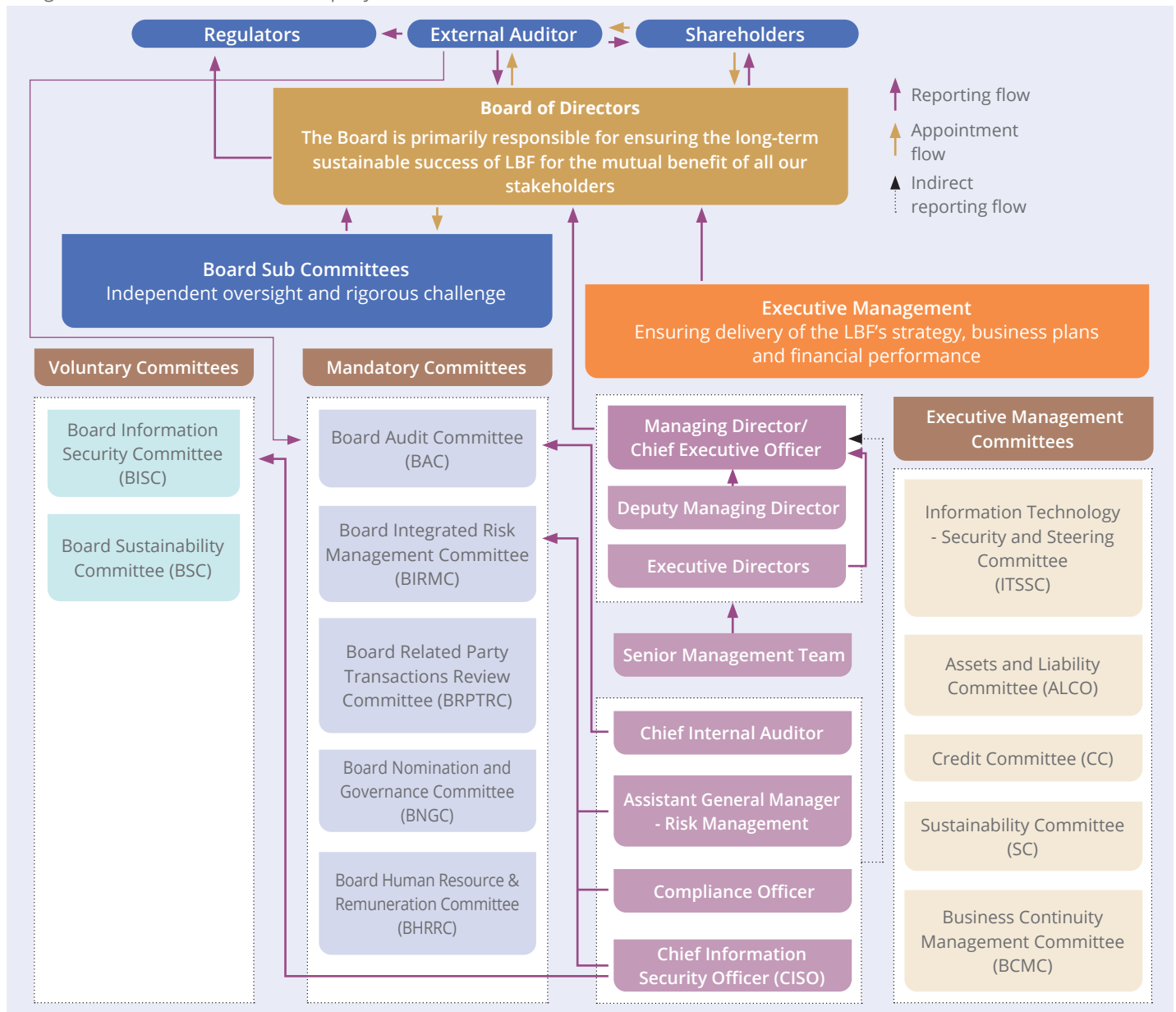
COMPOSITION

The Board comprises 10 Directors of whom 6 are Non-Executive Directors. Three (3) of the Non-Executive Directors are independent as determined by the regulatory and voluntary criteria for independence. The profiles of the Directors together with their current appointments are given on page 156. The Articles require the number of Directors to be between 3 and 12 Directors. Collectively, the Board possesses the skills and experience to provide guidance and exercise oversight in relation to the operations of the LB Finance PLC as set out. The Board is also diverse with regards to gender, age and tenure of service as set out, reflecting the work of the Board Nomination and Governance Committee to ensure there are diverse views at the Board.



GOVERNANCE STRUCTURE

The governance structure of the Company is as follows:



Balance of Power

A balance of power has been established through segregation of the roles of the Chairman and Managing Director / Chief Executive Officer as well as the appointment of a Senior Director and the clear articulation of their roles.

Role of Chairman (Non-Independent Non-Executive Director)

- Ensure the Board meets regularly to discuss relevant matters
- Maintain the appropriate balance of power between ED's and NED's
- Secure the effective participation of both ED's and NED's in all Board matters
- Implement decisions/directions of the regulator
- Prepare the agenda for each Board Meeting or delegate such function and to maintain minutes in an orderly manner to the company secretary
- Ensure appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board
- Oversee the annual assessment on the performance and the contribution during the past 12 months of the Board and the MD/CEO

Role of Managing Director/ Chief Executive Officer

- Implement business and risk strategies in order to achieve the LBF's strategic objectives
- Establish an appropriate management structure that promotes accountability, and transparency throughout LBF's operations, and preserves the effectiveness and independence of control functions
- Promote, together with the Board, a sound corporate culture within LBF which reinforces ethical, prudent and professional behaviour
- Ensure implementation of proper compliance culture and being accountable for accurate submission of information to the regulator
- Strengthen the regulatory and supervisory compliance framework
- Address the supervisory concerns and non-compliance with regulatory requirements or internal policies in a timely and appropriate manner
- Devote the whole of the professional time to the service of LBF and shall not carry on any other business, except as a Non-Executive Director of another Company

Role of Senior Director

- Bring an objective and unbiased perspective to the Board
- Participate in Board meetings, provide expertise, and contribute to strategic decision-making
- Contribute to performance evaluation of MD/CEO's performance evaluation and succession planning
- Conduct semi-annual meetings with only independent directors to find out if there are any concerns

Additionally, the presence of independent directors who are reputed, knowledgeable and experienced professionals serve as an additional balancing mechanism.

Company Secretary

The Company Secretary manages administration of the matters of the Board and guides the Board in discharging their duties and responsibilities. Directors have the right to reach out individually to the Company Secretary to seek out advice or guidance on relevant matters. Company Secretary is also required to facilitate any training requirements of Directors in order to keep them updated on the latest developments in legislation and regulations applicable to the Company. The appointment or removal of the Company Secretary is a matter for the Board as a whole. PW Corporate Secretarial (Pvt) Ltd., serves as the Company Secretary for LB Finance PLC.

APPOINTMENTS, RE-ELECTIONS, RETIREMENT & RESIGNATIONS

Appointments & Re-elections

The Board Nominations & Governance Committee plays a key role in the selection of candidates for appointment as Directors as they recommend candidates to the Board for their approval. The Committee assesses the skills, expertise and other attributes required to meet the business needs of the Company and seeks suitable candidates to meet the requirements. Potential candidates are vetted and screened against fit and proper criteria and, in the case of Independent Directors, criteria to determine independence as well. Candidates who meet the relevant criteria are recommended to the Board for appointment.

Non-Executive Directors are appointed by the shareholders subject to retirement and re-elected at the Annual General Meeting. Executive Directors are appointed by the Board and typically serve the duration of their employment contract. Executive Directors who reach the age of 70 years are re-appointed annually at the AGM subject

to approval from CBSL. Non-Executive Directors who hold more than 10% of shares, directly or indirectly or appointed to represent a shareholder who directly or indirectly holds more than 10% may serve a period exceeding 9 years with the approval of the Director, Department of Supervision of Non-Bank Financial Institutions. However, the number of Directors exceeding 9 years cannot exceed 1/4 of the Board. The Board also has the power to fill any casual vacancy that may arise during the year. In such cases, the recommendation of the Board Nominations & Governance Committee will be vetted and approved by the Board. Directors appointed during the year will retire at the next AGM and are eligible for re-election by shareholders at the same meeting. All appointments have to be approved by the Director, Department of Supervision of Non-Bank Financial Institutions. In all cases, all appointments of new Directors are informed to the CSE together with a brief profile of the Director, clearly stating in what capacity the Director has been appointed.

The election or re-election of each Director is a separate resolution and is set out in the Notice of Meeting on page 432 of this report.

Retirement & Resignations

Each year, 1/3 of Directors eligible for re-election must retire with the oldest Directors being those who retire. Such Directors may offer themselves for re-election by shareholders at the annual general meeting and a separate resolution is presented to shareholders for each such election of a Director. Non-Executive Directors typically retire after 9 years, except for those holding over 10% directly or indirectly or representing such a shareholder. Directors may also resign at any time by writing to the Chairman informing him of the reasons for the resignation and receiving formal acceptance of the resignation subject to the approval from Director of Department of Supervision of Non Bank Financial Institutions. CSE is immediately informed about the resignations or retirements of Directors together with their shareholding, if any, in the Company.

WORK OF COMMITTEES

The following committees of the Board have been appointed to assist the Board in discharge of their collective duties.

Composition	Area of Oversight	Link to Strategy	Link to Capital
Board Nominations & Governance Committee (BNGC) – page 194			
Mr. Ashane Jayasekara - Chairperson Mr. G A R D Prasanna Ms. Ashwini Natesan	- Review the Board structure, size, composition and competencies - Appointment of Board of Directors - Overseeing the Board and the Senior Management succession planning - Oversight the overall Governance Framework of the Company		HC SC
Board Audit Committee (BAC) – page 188			
Ms. Yogadinusha Bhaskaran - Chairperson Mr. Ashane Jayasekara Ms. Ashwini Natesan	- Reviewing the accuracy and integrity of the financial reporting - Internal and external assurance - Reviewing the design and effectiveness of internal control system and risk management	   	FC MC IC
Board Human Resource and Remuneration Committee (BHRRC) – page 196			
Mr. Ashane Jayasekara - Chairperson Mr. G A R D Prasanna Ms. Yanika Amarasekera	- Remuneration policy - Remuneration and compensations of Directors, Senior Management and staff salaries in general - Structure for staff performance evaluation	 	FC HC
Board Integrated Risk Management Committee (BIRMC)– page 192			
Mr. Ashane Jayasekara - Chairperson Ms. Yogadinusha Bhaskaran Ms. Ashwini Natesan	- Risk Management Framework - Risk measurement, monitoring and management - Compliance with regulatory and internal prudential requirements - Reviewing the business continuity planning	   	FC MC HC IC SC NC
Board Related Party Transactions Review Committee (BRPTRC) – page 198			
Ms. Ashwini Natesan - Chairperson Mr. Ashane Jayasekara Mr. Dharmadasa Rangalle	- Related party transaction policy - Providing independent review, approval and oversight of RPT - Ensuring relevant market disclosures	 	FC HC SC
Board Information Security Committee (BISC) – page 200			
Ms. Ashwini Natesan - Chairperson Mr. Ashane Jayasekara Mr. B D A Perera	- Strengthen the information security and technology risk resilience process - Continuous evaluation and improvement of information/ data security policies controls and practices	  	FC MC HC IC SC
Board Sustainability Committee (BSC) – page 202			
Ms. Yanika Amarasekera - Chairperson Mr. G A R D Prasanna Ms. Ashwini Natesan Mr. Niroshan Udage	- Oversight of processes in place to identify and manage sustainability related risks and opportunities - Review the measures taken to ensure the long-term sustainability of the Company in its ESG dimensions - Review the Company's plans and actions with regard to ESG/Sustainability topics	     	FC MC HC IC SC NC

The Board and Board Sub Committees are supported by Executive Management Committees which are listed below:

Executive Management Committee	Tasks	Members	Frequency of Meetings
IT Security & Steering Committee (ITSSC)	To ensure that IT strategy is aligned with the strategic goals of the Company whilst its top most mandate is to find and align business solutions that may leverage technology. ITSSC also looks into information security-related matters on a regular basis	• Managing Director • Deputy Managing Director • Executive Director - Asset Management • Chief Financial Officer • Chief Information Officer • Chief Information Security Officer • Representatives from relevant departments	Every other month
Assets & Liability Committee (ALCO)	To monitor and manage the assets and liabilities of the Company and also overall liquidity position to keep the Company's liquidity at healthy levels, whilst satisfying regulatory requirements	• Managing Director • Deputy Managing Director • Executive Directors • Head of Treasury • Head of Deposits • Chief Financial Officer • Assistant General Manager – Risk Management	Monthly
Credit Committee (CC)	The committee shall be responsible for laying out the overall credit policy for the Company. This includes setting lending guidelines in conformity with credit risk appetite set by the Board of Directors	• Managing Director • Deputy Managing Director • Executive Directors • Deputy General Manager - Credit • Chief Financial Officer • Assistant General Manager – Risk Management • Senior Manager - BPD	Quarterly
Sustainability Committee (SC)	The formulation and the review of the Company's Sustainability policy, and ensuring such activities are integrated into the Company's operations. Keeping in line with the Company's Environment, Social and Governance (ESG) focus, the Committee is tasked with the responsibility of steering the Company's policy on sustainability which aimed at uplifting the communities we work with and preserving the environment	• Deputy Managing Director • Chief Financial Officer • Head of Treasury • Senior Manager - Digital Strategy and Sustainability • Representatives from relevant departments	Meets when required
Business Continuity Management Steering Committee (BCMSC)	Committee is responsible for aligning BCM goals with business goals and provides strategic direction and support in establishing, implementing, operating, monitoring, reviewing and improving the BCMSC	• Deputy Managing Director • Senior Manager - BPD • Representatives from the relevant departments	Meets when required

POLICY FRAMEWORK

LB Finance has a comprehensive policy framework that continues to be updated to reflect changes to regulatory requirements, best practice and our own findings. The policies that were updated during the year are set out below:

Policies relating to Board Matters  3 • Dividend Policy • Succession Plan for Key Responsible Persons • Delegation of Authority	Risk Management  16 • TOR of BIRMC • Integrated Risk Management Framework • Operational Risk Management Framework and Policy • Risk Appetite Statement	IT & Information Security  6 • Information Security Policy • Disaster Recovery Plan • Information Asset Management Procedure	Credit  4 • Credit and Operations Manual • Credit Committee Charter • Recovery Procedure Manual	Governance, Audit and Compliance  7 • Board Audit Committee Charter • Anti Money Laundering, Countering the Financing of Terrorism and KYC Policy • Board Sustainability Committee – Terms of Reference
Liquidity & Capital Management  3 • Asset & Liability Management & Liquidity Management Policy • Investment Policy • ALCO Charter	Human Resources  1 • Human Resource Policy • Code of Conduct	Financial Reporting and Asset Management  6 • Impairment Policy Manual • CBSL Reporting Regulation Manual • Finance Manual	Other Products and Services  6 • Foreign Currency Operations – Policy Manual • Policy & Procedure for Development of new Products, Processes & Systems • Procurement Manual-Administration, IT & Marketing Department	

 Number of Board approved policies

BOARD EFFECTIVENESS

Governance

Board effectiveness is key as it must uphold the commitments and discharge the duties set out in the governance framework as the body of persons charged with governance. Clear lines of delegation of authority and reporting have been established as set out in the Governance Structure with responsibilities and roles also clearly identified. The Board of LB Finance provides leadership and oversight with regular meetings facilitating review of progress, opportunities and threats and directions for further action.

In discharging their duties, the Board also reserves the exclusive right to review and approve the following ;

- Evaluating and approving of the Strategic Plan
- Evaluating and approving of the LBF's Annual Budget
- Appointment of the MD/CEO of LBF, its Key Responsible Personnel and the CEOs of all its Subsidiaries
- Approval of the succession plan for the Senior Management including MD/CEO
- Determine and approve the organisation structure
- Evaluating and approval of any type of strategic decisions
- Appointment of Board Sub Committees and defining their scope of work and the extent of delegated powers and authority for them

CORPORATE GOVERNANCE

Meetings & Minutes

The Board meets monthly with committees of the Board having varying frequencies as set out below in the Attendance matrix. Minutes are circulated within 14 days of the meeting and are ratified and signed by the Chairman at the next meeting. The Company Secretary is responsible for preparation and maintaining the minutes. Directors have access to minutes of the past months on their devices through a secure link and may request the Company Secretary for extracts of older minutes if required.

Attendance Matrix of the Board and Board Sub Committees

Name of the Director	Designation/ Membership status	Tenure on the board (years)	Gender	Age	Meeting attendance			Board subcommittee membership and attendance						
					Eligible to attend/ attended	Participation		Mandatory					Voluntary	
						In person	Virtual	BAC	BIRMC	BNGC	BHRRC	BRPTRC	BISC	BSC
Mr. G A R D Prasanna	Chairman / Non-Independent Non-Executive Director	2	Male	53	13/13	13	-	-	-	4/4	3/3	-	-	1/1
Mr. Ashane Jayasekara	Independent Non-Executive Director (Senior Director)	6	Male	45	12/13	12	-	13/13	6/6	4/4	3/3	7/7	2/2	-
Mr. Sumith Adhietty	Managing Director	20	Male	73	11/13	11	-	12	6	-	-	-	-	-
Mr. Niroshan Udage	Deputy Managing Director	17	Male	53	12/13	12	-	12	6	-	3	-	1	1/1
Mr. B D A Perera	Executive Director	17	Male	56	12/13	12	-	12	6	-	3	3	2/2	-
Mr. Ravindra Yatawara	Executive Director	8	Male	53	12/13	12	-	-	1	-	2	-	-	-
Ms. Yogadinusha Bhaskaran	Non-Executive Director	8	Female	49	12/13	12	-	12/13	5/6	-	-	-	-	-
Ms. Ashwini Natesan	Independent Non-Executive Director	5	Female	36	13/13	13	-	13/13	6/6	4/4	-	7/7	2/2	-/1
Mr. Dharmadasa Rangalle	Non-Executive Director	4	Male	65	13/13	13	-	-	-	-	-	7/7	-	-
Ms. Yanika Amarasekera	Independent Non-Executive Director	2	Female	29	12/13	12	-	-	-	-	3/3	-	-	1/1

☐ Attended by invitation

BEFORE EACH MEETING

- Meeting calendar is prepared by the Company Secretary annually in advance and communicated to all Board members
- The Company Secretary seeks advice from the Chairman and the Managing Director to set the agenda
- Routine matters on the agenda include: discussions on strategy, the Company's performance, Industry Performance, Financial Results, Treasury updates, status of Human Resources, Risk Management and Compliance, progress on Company's digital initiatives, status on Cyber Security and Data Privacy etc.
- A Board approved procedure is in place to include additional matters and proposals to the Agenda by Directors
- The agenda and the information pack containing relevant Board Papers are uploaded to a secure portal at least seven (07) working days prior to the meeting date to give Directors remote access
- Selected members of the Senior Management / Board Committees may also be invited to be present at Board Meetings where necessary
- All Directors are allowed to reach the Company's Senior Management to obtain necessary information or clarifications. They also have the right to seek independent professional advice

AT THE BOARD MEETING

- The Chairman plays a key role in promoting open and active debate among Directors
- The Chairpersons of each Board committee will be called upon to provide an update on significant matters discussed at their respective Board sub-committee meetings
- The Managing Director provides a comprehensive update on the Company's business and operations and overview of the context in which these outcomes were achieved
- The Chief Financial Officer provides the Board with detailed monthly financial performance reports
- Other Business heads are invited to provide updates on business aspects under their purview
- Directors' interests and related party transactions are tabled at Board Meetings
- In a situation where a conflict of interest arises, the relevant Director shall recuse from the discussions and refrain voting on such matter
- Directors who are unable to attend a Board meeting in person are allowed to participate through virtual means
- The Company secretary maintains the minutes with adequate information

AFTER THE BOARD MEETING

- Minutes are first presented to the Chairman for approval prior to being circulated among the Directors
- Minutes of the meetings are circulated within two weeks after the meeting date
- Strong emphasis is placed on encouraging continuous and ongoing engagement of Directors in the matters of the Company
- Directors have access to senior management and may request any additional information to make informed and timely decisions
- The Managing Director keeps the Board updated on LBF's performance and prospects vis-a-vis the prevailing economic and regulatory climate
- Special Board meetings are also convened on occasion as and when the need arises

Information

The Chairman ensures that the Board has sufficient information provided in a timely manner on matters to be discussed at the Board meeting. He is assisted in this by the CEO and the Company Secretary. Additionally, the Directors have access to the key management personnel to clarify matters set before them. The Chairpersons of the Board Committees also follow the same procedure for their meetings. The Senior Leadership of the Company take care to provide information in a concise but comprehensive manner, using reliable and verifiable sources of information where possible. Regular agenda items typically have well established formats that facilitate location of information and ease of review.

Training & Induction

All new Directors have a formal induction programme which is determined by the Chairman, CEO and the Company Secretary. New Directors receive an

orientation pack with relevant external and internal documentation to ensure they have the requisite knowledge of the company and its operations. New Directors are also given the opportunity to meet with the Senior Management.

Directors further benefit from regular training programmes throughout their tenure to support ongoing knowledge enhancement and also to inform them of economic, regulatory and industry trends. Each Director, receive adequate training hours annually.

During the year following training sessions were conducted to the Board of Directors,

- AML/CFT regulations
- Information and cyber security risks awareness
- Laws and regulations surrounding Personnel Data Protection
- Potential risk on Robotics Process Automation

Induction Pack

- Articles of Association
- Latest annual report and quarterly financial statements
- Minutes of the previous meeting
- Code of Conduct
- Board Charter and other key policies

MANAGING CONFLICTS OF INTERESTS

The Board has implemented a formal Conflict of Interest Policy that sets out clear guidelines to ensure that the Board of Directors, Senior Management, and all employees are well aware of the steps that need to be taken to avoid any conflict of interest. Directors are expected to exercise utmost good faith, honesty, and integrity in all their dealings with or on behalf of the Company. They are required to act in the Company's best interests by disclosing real or perceived conflicts to the Board.

CORPORATE GOVERNANCE

All Directors are expected to disclose any potential conflicts of interest in their annual declarations and also before any meeting where a potential conflict may arise. The Company Secretary maintains a Register of Interests which is updated if there are any new declarations. Related

party transactions are reviewed by the Related Party Transactions Review Committee and any transactions that require disclosure under the Listing Rules are disclosed as specified. These are disclosed in Note 3.1 of the financial statements on page 318.

ETHICAL PRACTICES & CORPORATE CULTURE

Having operated for over 5 decades, LB Finance has its own unique culture nurtured by its corporate values and the Code of Conduct. Decades of growth has seen the culture evolve into a service and mentoring culture that strengthens the passing down of knowledge and LB Finance way of doing business which has served us well in the past. The Code of Conduct for its employees covers the topics set out in the graphic alongside. The code was last reviewed in August 2023 and is signed by all employees on joining to ensure that they are aware of the standards of conduct expected of them and informed about managing potential conflicts and other situations that may arise in the course of employment. These are further reinforced by the Anti-bribery & Corruption Policy and the Whistle-blowing Policy which serve as broad spectrum controls.

Corporate Values	Code of Conduct	Policies
• Excellence • Ethics • Transparency • Innovation • Professionalism • Quality	• General Conduct & Compliance • Conflict of Interest • Bribery & Corruption • Entertainment & Gifts • Accurate Record Keeping • Confidentiality • Safeguarding of Assets	• Anti-Bribery & Corruption Policy • Whistle-blowing Policy • Human Resource Policy • Code of Conduct • Policy on Managing conflict of interests • Financial Consumer Protection Policy

INTERNAL CONTROL

The Board has, over time, established a comprehensive system of internal controls Including internal control over financial reporting and compliance with internal/ external regulations. The Board Audit Committee (BAC) is charged with oversight of this key function. An independent Internal Audit function provides support and assurance in accordance with the annual internal audit plan which is approved annually by BAC. BAC monitors progress of the same, reviews the internal audit reports and monitors implementation of recommendations. BAC also conducts an in-camera meeting with the Chief Internal Auditor annually to discuss any potential areas of concern. Further information in this regard is given in the Directors Statement on Internal Control on page 204 and the BAC Report on page 188.

Whistle-blowing Policy

LB Finance has implemented a Whistle Blowing Policy which serves as a broad spectrum deterrent/control. The policy encourages employees to report unfair, unethical, illegal, fraudulent or other irregular practices to the Compliance Officer. Whistles blown are reported confidentially to BAC who updates the Board accordingly. BAC is charged with oversight of potential investigation and implementing appropriate action. The policy contains provisions to protect the identity of the whistle blower making the policy more effective as it removed potential fears of reprisal against the whistle blower. There was one (1) whistles blown during the year.

RISK MANAGEMENT

The Board is assisted by the Board Integrated Risk Management Committee (BIRMC) in this regard and a more detailed description of this vital function is given on page 192.

ACCOUNTING & AUDIT

The Board is responsible for the timely quarterly and annual disclosure of financial statements in accordance with both the CSE and CBSL regulations. The BAC is tasked with detailed review of financial reporting processes, controls and the financial statements themselves as this is a principal communication to the shareholders and other investors. BAC reviews the quarterly financial statements and the annual report and recommends it to the Board for approval and disclosure.

REMUNERATION & INCENTIVES

The BHRRC makes recommendations to the Board on remuneration policy and the remuneration of Executive and Non-Executive Directors, and the Board considers the recommendations in determining the same. BHRRC has the authority to engage external consultants, if required, to determine remuneration levels, and policy to facilitate attraction and retention of skilled professionals. Non-Executive Directors receive a fixed fee taking in to consideration the commitment and responsibilities of their role. The Executive Director remuneration comprises a variable component for exceptional performance. The Board also approves remuneration schemes in total for executive staff including increments and variable pay. There are no stock options included in remuneration schemes.

STAKEHOLDER ENGAGEMENT & COMMUNICATION

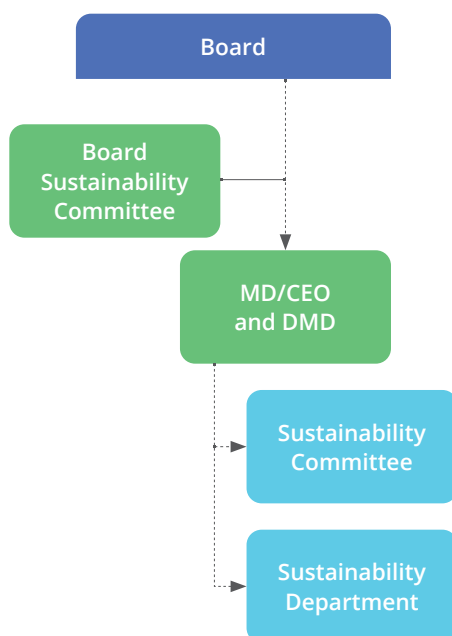
The Company has numerous engagement mechanisms with its stakeholders which are set out on page 40. The Board reviews analytics of the call centre to understand the issues that concern customers. BHRRC and the Board review the employee surveys to understand the issues and concerns that affect the team. Queries from the regulators are tabled at the Board meetings. The Board is responsible for shareholder communications together with the Company Secretary and these are reviewed by the Board. Accordingly, the company publishes quarterly performance reports and annual report through Colombo Stock Exchange to provide shareholders with a comprehensive view of the company's affairs during a particular financial year. The Annual General Meeting is the main

platform for engaging shareholders and due notice is given of the meeting in this report and as previously announced via the CSE. The feedback form which is incorporated in to the annual report serves as a key mechanism for shareholders to communicate with the company. To further strengthen the communication with shareholders and other stakeholders the Board has approved the company's corporate communication policy. We believe the adopting a structured approach to engaging with and involving stakeholders will allow us to collaborate and learn from one another in the pursuit of mutually supportive relationships. Accordingly, the LBF Board reinforce its commitment to inclusive stakeholder engagement is based on the principles of,

- Relevance – focusing on those issues of material concern to our stakeholders and identifying best to address them for our mutual benefits.
- Completeness – understanding the views, needs, performance expectations and perceptions associated with these material issues while also taking cognizance of prevailing local and global trends.
- Responsiveness – engaging with stakeholders on these issues and giving regular, comprehensive, coherent feedback.

SUSTAINABILITY INTEGRATION

LB Finance has been an early champion of sustainability and has been reporting on the same, winning multiple accolades for the reports over the years both in Sri Lanka and at international award programmes. While the Board provided oversight, the mandatory reporting requirement of sustainability reporting for reporting periods commencing after 1st January 2025 makes it imperative that the reporting has the same rigour of checks and balances as the financial reporting. Accordingly, the Board appointed a new Sustainability Committee to assist the Board in this regard. A structure is now in place to steer the course to sustainability reporting in line with the SLFRS. For more information on sustainability of LBF, refer page 56 on this annual report.



IT GOVERNANCE

IT governance continues to be a key strategic priority of LB Finance as we rely on IT systems for record keeping but also have a legal duty to protect the personal data of our customers in accordance with the Personal Data Protection Act No.9 of 2022. Indeed, it is recognised as a key sustainability issue for the consumer financial services sector by the SASB as well.

The Board has appointed the Board Information Security Committee (BISC) which has oversight responsibility for this key area of the Company's operations. The key focus areas under IT governance include; safeguarding IT infrastructure, data protection, network security, data servers and digital channels along with the provision of system support. Refer Board Information Security Committee report in page 200 of this annual report.

The Board has appointed Chief Information Security Officer (CISO) and a dedicated IT governance team who are tasked with;

- Formulating policies and operational procedures based on the compliance requirements and other best practices
- Reviewing and monitoring privileged access activities
- Coordinating the functions related to ISO 27001:2022 certification

- Reviewing and recommending to the BISC regarding amendments to IT and IS related policies and procedures
- Weekly/monthly/annual monitoring of information security and cyber risks
- Follow up on corrective and preventive action plans of audit findings
- Conduct information security awareness campaigns
- Coordinate vulnerability assessments and penetration tests
- Conduct due diligence assessments, security reviews on vendors

For more details, please refer to the Intellectual Capital section on page 120.

EVALUATIONS & APPRAISAL

Evaluating the Performance of the Chairman

The Chairman of the LBF Board is evaluated by Non-Executive Directors of the Company. The evaluation is carried out annually to determine the Chairman's effectiveness in discharging his assigned duties and responsibilities as the Board Chair.

Evaluating the Effectiveness of the Board

The BNGC performs an annual self-assessment to evaluate the overall effectiveness of the LBF Board according to the criteria set out alongside. The feedback from Directors is collated and reviewed by the BNGC and conveyed to the Chairman of the Board for discussion at a closed-door meeting with the Board. BNGC is charged with formulating action plans and implementing the same to address the issues and concerns raised.

Evaluating the Performance of Directors

All Directors are required to submit an annual self-evaluation to BNGC indicating their view of regarding the collective performance of the Board vis-a-vis the contribution towards developing and monitoring implementation of strategy, ensuring robust and effective risk management, maintaining effective internal control mechanism, oversight of Board Sub Committees etc. The BNGC together with the Board Chairman review these self-evaluations with the findings used to constructively discuss

improvements to the Board and to ascertain if each individual Director remains qualified to remain on the LBF Board. The Chairman and/or Board Nomination and Governance Committee Chairman/ Chairperson acts on the results of the evaluation, and if appropriate, proposes new Directors or seeks the resignation of Directors.

Evaluating the Performance of the MD

The performance of the Managing Director is assessed annually by the Chairman of the Board based on the agreed goals and objectives for a particular financial year, set at the commencement of that particular year. Following the year end evaluation of the Managing Director’s performance, the BHRRC makes recommendations to the Board regarding the performance related pay component for the past year and revisions to the compensation for the year ahead.

Criteria for evaluating the effectiveness of the Board

- Composition, accountability and governance
- Board operations
- Legal responsibilities
- Financial overview
- Planning
- Board management relations

GROUP GOVERNANCE

LBF’s Governance Framework includes clearly defined Group governance roles and responsibilities for the oversight and implementation of effective Group-wide policies to safeguard the interests of stakeholders of the Group. The LBF Board proactively reviews and updates the Group Governance Framework to take cognisance of changes in the operating environment, including the legal and regulatory requirements. The Board together with the BIRMC continuously review the potential risks posed by the subsidiaries and implement appropriate controls to mitigate such risks.

As part of this commitment, the Board has established clear reporting arrangements that promote the understanding and management of material risks at subsidiary level. Moreover, the Board takes the responsibility for mobilising adequate resources to effectively monitor the compliance status of subsidiaries in line with all applicable legal and regulatory requirements.

PRIORITIES FOR 2024/25

The Board have noted the following matters for attention in the year that has commenced:

- Ensuring compliance with CSE Listing Rule no. 9 on Corporate Governance prior to specified dates
- Facilitate and guide the newly formed committees of the Board to ensure they are effective in oversight of matters assigned to the committees
- Ensure that processes for compliance with SLFRS Sustainability Disclosure Standards are set in place and that internal controls are in place to verify the completeness, accuracy and reliability of sustainability reporting
- Ensure that the Board gets sufficient non-financial information to monitor progress against sustainability targets
- The Board will prioritise technological solutions to streamline governance processes, bolster information and data security, and enhance the decision-making process, thereby supporting greater transparency, accountability, efficiency, and effectiveness across enterprise-wide governance systems